

12. Threat to Substitution

Availability of substitute to the goods	No substitute (Horlicks is a very distant substitutes)
Ability to substitute	No Substitute
Cost of Switching	No Substitute
Price performance of substitute v/s the industry	No Substitute

13. Threat to Entry

Time and Cost of Sizeable Entry	Time and Cost is high
Economics of Scale	High Economies of Scale (Marketing and Distribution)
Distribution strength required	High
Cost advantages to existing players	Yes; access to farmers for procurement
Switching Costs for Customers	Habit
Asset specificity in the industry	Geographic asset specificity
Proprietary product difference	Medium for value-added products; low for milk
Network effect of the product	No
Protection against new entrants	No
Brand Identity	High
Reputation of existing firms	Moderately important for sales
Response by incumbents on new entry	Moderate Strategic response

New entry takes time to build. However, firms can enter the industry using pre-established brands.